**Large Size Alone No Guarantee of Safety.** These recommendations on the subject of minimum size do not imply that enormous dimensions are in themselves a guarantee of prosperity and financial strength. The biggest company may be the weakest if its bonded debt is disproportionately large. Moreover, in the railroad, public-utility, and municipal groups, no practical advantage attaches to the very largest units as compared with those of medium magnitude. Whether the gross receipts of an electric company are twenty millions or a hundred millions has, in all probability, no material effect on the safety of its bonds; and similarly a town of 75,000 inhabitants may deserve better credit than would a city of several millions. It is only in the industrial field that we have suggested that the bonds of a very large enterprise may be inherently more desirable than those of middle-sized companies; but even here a thoroughly satisfactory statistical showing on the part of the large company is necessary to make this advantage a dependable one.

**Other Provisions Rejected.** The New York statute includes an additional requirement in respect to unsecured railroad bonds, *viz.*, that the *net* earnings after interest charge must equal $10,000,000. This does not appear to us to be justified, since we have previously argued against attaching particular significance to the possession or lack of mortgage security. There is a certain logical fallacy also in the further prescription of a minimum size for the bond issue itself in the case of public utilities. If the enterprise is large enough as measured by its gross business, then the smaller the bond issue the easier it would be to meet interest and principal requirements. The legislature probably desired to avoid the inferior marketability associated with very small issues. In our view, the element of marketability is generally given too much stress by investors; and in this case we do not favor following the statutory requirement with respect to the size of the issue as a general rule for bond investment.

See Chapter 9, "Specific Standards for Bond Investment (*Continued*)" online at www.mhprofessional.com/SecurityAnalysis7.